September 25th, 2025

"Realizations of an Investor"

While these writings are passive thoughts of mine, I do share them publicly to people and I try to provide insight to those readers through my perception. I believe there is a mix of thoughts and actions here, mainly split between my short term and long term ideas. In retrospect, I need to be better at signaling my intentions with these thoughts as any misconception could prove costly for someone taking action from them. This will be an extended write up with an introduction into why I do this and how I think about the market holistically. I'll finish with my short term market thoughts.

Let's sample with some questions below:

- **Are you a long term investor?**
  - Yes, I am a long term investor with the belief that the majority of your hard earned dollars should be invested at all times and structured with a decades plus perspective. With fewer and fewer public companies every year, there is more money being thrown at fewer names. This trend is almost hyperbolic and will remain true for our investing lifetime. Therefore, you need to be exposed to equities aggressively throughout your earning years. In the modern American economy, you will be left at the train station if you are not participating in the market via low cost SP500 funds. You essentially have no choice as a young American.

- **How do you go about being a long term investor?**
  - Like most everyone, I utilize various accounts (401k, Roth 401k, Roth IRA, PE funds, etc.) to structure my long term investments. Yes, these are mostly all automated, a process established directly out of school and will remain that way for decades.

  - A unique thing I do is that I actively select stocks in my Roth IRA account. I don't put it all in VOO and forget about it. I use this tax haven as an opportunity to sharpen my acumen as an investor. Yes, the majority of the funds are in low cost ETFs, but I do allocate a percentage to my own investment ideas. I like to be aggressive here because that is your advantage with a Roth IRA. At my ripe age of 26, there is nothing more I want to be exposed to than founder led high growth companies. You are protected by your time horizon and you might just find out that you learn a lot along the way. For example, companies like FTNT, RDDT, VG, ZS, ULTA, MEDP, etc. are some of my favorite investments made in the Roth IRA account. I formulate these decisions over time by continuously updating my Roth IRA watchlist. Through years of studying and watching, I'm able to make sound individual investments. Simply put, I don't worry about these companies. Many of them I've likely recommended to you before.

  - I also manage a small portfolio titled, "The Awesome Portfolio". I did not come up with this name, but a few years ago I stumbled upon the idea. I learned this portfolio construction from an ex-Wall St. investor named Jared Dillan. He is a wonderful author as well. I recommend his book, "No Worries" to anyone interested in healthy money management. The portfolio is as simple as it gets, it's also back tested and proven throughout history. Simply follow these guidelines and rebalance once a year or so. It consists of the following low cost investments:

        - 20% stocks (VOO)
        - 20% Bonds (BND)
        - 20% Gold (GLD)
        - 20% Real Estate (VNQ)
        - 20% Cash

    - Lastly, I like to manage a dividend growth portfolio. There is something special about companies that have the following 1.) low volatility 2.) income, aka dividends 3.) historical income growth and 4.) momentum. You do not have to be smart to follow these rules and craft a magnificent dividend growth portfolio. These are not volatile names but proven FCF machines. I put an emphasis on dividend growth rate here, especially the 5Y and 10Y growth rates that are above 10%. Oddly enough, there is a market paradox that few know that has to do with *low volatility stocks outperforming high volatility stocks in the long run*. Check it out, it's been backtested on over 125 years of market data across the world. This type of investing suits investors who can't stomach volatility. For example, I hold names like HSY, ORI, V, ECL, etc. in the portfolio. My ultimate goal here is to manage this for 40+ years and then hand it as a gift to my children with the intention of them handing it to their kids one day. How cool would it be to receive an income producing portfolio that your grandfather started over 75 years ago?

- **How can you be a "long term" investor but also write a lot about trading?**
    - Some people prefer to passively invest and live their life concerned about other things, all of which is fine. Personally, I would never be able to invest 100% of my funds into passive ETFs and not be able to have short term thoughts or actions about the market. Whether it is my genetics or my ignorance, I've fully sided with the former, but there is a literal infinite amount of potential you can generate from allowing yourself to invest behind your experience and your own perspective of the market. The entire title behind my running market journal is "Realizations of an Investor". You cannot learn how to invest without participating and by not participating you are missing out on the abovementioned potential. Most people are simply risk averse as they've been taught the market is a casino. Internally, the stock market is synonymous to risk for them. That is harmful to an extent they can't grasp. Unless they are high income earners, they will simply never outperform financially. Take risks and practice sound capital management. You have nothing to lose but what you started with.

    - I don't mention the above to suggest you take extreme risk with funds critical to your well being. What I urge everyone to do is to go on your own journey of investing and you will quickly realize it's a necessary evolution one must take. You can read all you want but it's the actions that teach you the most. You have to feel the rush of emotions to realize your strengths and weaknesses as an individual investor. Create your universe of investable items and pursue them with intensity. I have short sighted watchlists titled "Luke's Universe" for this exact reason. You must understand and be comfortable with what you're investing in or else you will fail regardless of luck. It takes touching the stove once or twice to realize the son of a bitch is hot.

- **What *<u>don't</u>* you invest in then?**
  - I'd say 99% of the investable universe. The above might seem like a lot but there are plenty of intersections. Firstly, I am of the opinion that the majority of stocks are uninvestable. I do not invest in biotechnology individually because this is a sector I have learned is the most speculative of all. It is regulated into the ground and that is a major headwind in itself. It's a disruptive sector and one not to ignore entirely, but there is a specific mindset you have to take on to be successful. The sector will benefit massively from AI, so there's that. These are dormant names until they become lottery tickets. Simply put, it scares the shit out of me. Another sector that is difficult to invest in for me is energy. I work in oil and gas so that is comical to say but from my education and experience, it is a speculator's game. Energy stocks face headwinds unlike any other and fundamental investing or technical investing there seems to fail more times than not. I steer clear from that sector unless it's a short term trade idea. If I were to recommend an aspect of it, it would be the royalty space. Buy some minerals and cash flow them. Stay away from equities in the oil and gas operating space. My sole energy play is ***VG*** and that is more so a valuation play. I want this stock to trade below $10/share for multiple years as I continue to load the boat and as the valuation dump on retail is digested. Companies simply don't go public early anymore, there is no incentive in a low rate environment. More so than not, they go public like VG with a massive valuation and it takes years for that to get washed out and in the hands of long term investors.

I hope the above question sequence sheds more light on my mental perspective as an investor. These writings can become muddy if the reader isn't grounded first by the author. I appreciate your patience in reading this and hope there was insight gleaned. Moving forward I'll make attempts at splitting this commentary into clear short term and long term perspectives, especially when mentioning specific tickers.

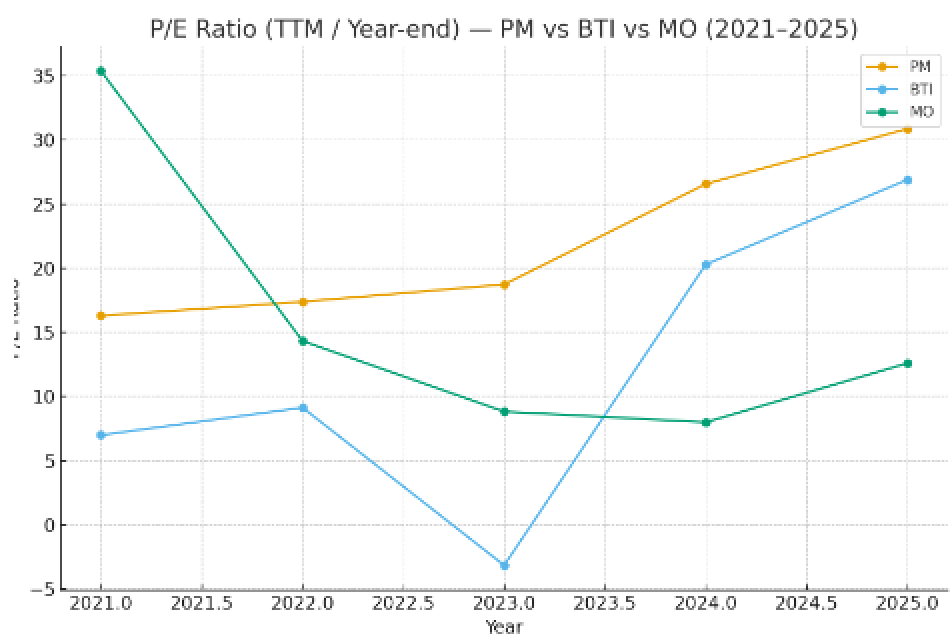
Moving into current market comments, there has been a nice run up for equities in September. Some of the names we've talked most about over the majority of this year have appreciated beyond our expectations and proven to have been great trades. Take for instance our pick of ***EOSE***, with a gain of over 125% in the last three months alone. Full disclosure, I sold part of my position north of $10.75/share, but still retained a few hundred shares here. I plan to hold these as this is a name that could hit a BE type run into year end.

My overall assessment of the near term is much of what I've preached this year. As of yesterday, I'm seeing a sell signal across the market that could last until earnings confirmations in October. I would say we bounce hard before then and continue our run into year end, but there is the chance earnings cause some shakiness. Once in the clear again, we will trade strongly into January.

"I lean to the side that we continue this train ride into mid-late August with a possible shake off during September and into October, at which point we will resume the manic bull run into year end."

August 4th, 2025
Luke C. Cagle

As for 2026, I believe we are going to see the topic of "roaring inflation" pick back up and be a headache for investors as we enter the new year. During this period, I'm expecting a few names that I own and have written about extensively to outperform. Names like NGVC (-8% YTD), JD (+1.5% YTD), and AMZN (-1% YTD) will benefit more from this sentiment switch. Hints at their underperformance for 2025 as well. I also expect the names that have worked so well in 2025 (OKLO, CRWV, etc.) to get huge haircuts during this rotation. What we have experienced in 2025 is enormous amounts of capital fleeting more stable names and flowing into the AI demand trade. Take a look at insurance companies, nobody knows why they have gone down this year other than money chasing outsized returns. There is no doubt about the market being pricey, but I don't ever recommend just going off of the SP500 multiples. Like I discussed earlier, the SP500 has fewer companies now than ever before packed with more money than ever, and that creates a *tornado of elevated valuations*. If you make investment decisions strictly based on current valuations, I can promise you that you will underperform. Personally, I like to look at tobacco names (MO, PM, BTI) to get a better judgment of overvaluation. Just take a gander at their valuations over the last five years and you'll see they now trade at 30+ P/Es. These companies have virtually no growth, certainly no population growth, and the industry has been the same for 100+ years. In the image below, we can see the trend over the last 5Y and that sir is by definition overvalued. It is an odd way to go about it but it is one I feel grounded in.



*P/E ratios of MO, BTI, and PM from 2021-2025

To wrap up this extended writing, I'm going to make note of some recent actions:

- Our ***CRK*** trade from $15.50/share has gone well with the lucky timing of their Haynesville non-core asset divestment. CRK currently trades north of $19.25/share. We continue to hold our position until north of $20/share.
- I've been slowly adding to ***JD*** this quarter. Small position as of now but this is anticipating outperformance in 2026. I'm loving a few names that are trading at a price-to-sales ratio of <1, one of which is JD. From a technical standpoint, the stock is primed.
- I've mentioned ***EBAY*** recently and I recommend people put eyes on this name. I've got no position and contemplated adding at $88 a week or so ago. For now I'm watching.
- I'm trading ***RR*** right now with my initial purchase being at $2.80/share. Take one minute to look at the stock chart. It touched almost $6 just this week and I sold part of my position. Now trading back around $4/share as the market sold off this week, I'm tempted to add massively to my position. I think this one crosses $6/share by year end.
- We touched on it weeks ago but we added to our long term position in ***FTNT*** after their reported earnings and fell to $75/share. This was an easy decision and even at today's prices it is a good add to long term portfolios.
- I've been watching ***BRO*** for a potential add to my long term dividend portfolio. Great company and has retreated considerably after their shelf offering. Blue chip stock with a 12% dividend growth rate. I will most likely add soon.
- I'm watching my darling ***TEM*** very closely to possibly add more <$70. Volatile name but we stash a piece in our Roth and we trade the rest. This will be $100+ by year end. This could also see a haircut when inflation talk sparks again.
- I've recently entered ***CLSK*** around $13.75/share. I'll hold this into the year end looking for a pop into the $20/share range.
- I'm watching the entire consumer stables sector and will begin adding ***NGVC*** aggressively again once I start to see inflows. For now, I'm watching my darling rest. Would love for this name to get depressed into $32/share range or below before I buy again.

Well if you've made it this far in reading, I'd buy you a cold beer. You reading this makes me a better writer and investor, that alone means the world to me. I do not benchmark myself against any measure but my past mistakes. I suggest you do the same. Invest within your capabilities and never stop refining that craft. I think our social capital is the greatest asset we have and should be utilized through sharing not only memories but ideas. You are welcome to call me anytime, friend.

It's only at the knife's edge that you realize you know nothing,

Luke Cagle
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